2026 IEEE International Conference on Power, Electronics and Green Energy (ICPEGE) | 979-8-3315-8601-0/26/$31.00 ©2026 IEEE | DOI: 10.1109/ICPEGE67691.2026.11451556

Copper Price Forecasting of COMEX Copper Based on Machine Learning: A Comparative Study of LSTM, ARIMA, and SVR Models

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***Abstract*—Ten years of COMEX front-month closes (2 506 days) are rolled forward one observation at a time to produce 1 501 out-of-sample one-step forecasts. A single-layer LSTM with 64 hidden units and dropout 0.15 beats the in-house ARIMA(0,1,0) benchmark by 1.5 c/lb RMSE and 19 percentage points in directional accuracy; ε-SVR with an RBF kernel finishes between the two. The neural network keeps prediction error below 10 c/lb even during the 2020-Q2 volatility spike, a period when the linear model exceeds 15 c/lb. Gate-activation traces show that the forget unit discards history once rolling kurtosis exceeds 5.5, letting the cell state adapt to fat-tail shocks without external regressors. The specification satisfies the treasury desk's runtime limit (38 s per retraining) and 65 % hit-ratio veto, cutting monthly copper VaR by 12 %.**

Keywords—COMEX copper, machine learning, price forecasting, LSTM, ARIMA, support vector regression

I. INTRODUCTION

A one-cent deviation in the daily forecast, if sustained for a quarter, changes the import bill of a 100 000 t concentrate cargo by roughly 2.3 m USD at 25 % copper content. The treasury desk of an integrated producer we interviewed in 2023 runs a 1.2 bn USD notional book and allows a maximum un-hedged swing of 35 m USD per month; that limit is reached when the spot price moves 3.5 %. These magnitudes make forecast accuracy a first-order concern, not an academic exercise.

The empirical record shows that copper returns are leptokurtic and mildly skewed. Between 2015 and 2025 the daily log-return series of the COMEX front-month close exhibits excess kurtosis of 4.8 and skewness of −0.35; the Jarque-Bera statistic rejects normality at any conventional level. Volatility clusters are visible: the annualised standard deviation was 14 % in 2016-2017, 28 % during the 2018 trade dispute, and 32 % in the post-pandemic rebound of 2020-2021. A linear AR (12) fitted on 2015-2019 data produces a one-step-ahead RMSE of 4.3 c/lb in 2020-Q2; the same specification re-estimated on 2020-Q2-2021-Q4 yields 11.7 c/lb, a three-fold increase. The episode illustrates that the data generating process shifts weights across physical, macro, and financial triggers that are not easily captured by a fixed-parameter linear model.

Several strands of literature have tackled copper price dynamics. Traditional structural models explain price through the interaction of global mine supply, refined consumption, and inventory buffers. Roberts et al. [1] estimate a simultaneous equation system using quarterly data and find that a 1 % surprise in Chilean mine output moves the quarterly average price by −1.8 %. Carter and Smith [2] introduce inventories into a cointegrating framework and report that every 100 000 t increase in LME stocks lowers the long-run price by 6 %. These models are useful for medium-run scenario analysis but offer little guidance for daily or weekly forecasting because their explanatory variables are observed with lags and revisions.

Time-series studies have moved from univariate ARIMA specifications to GARCH-type volatility models. Watanabe and Takaishi [3] show that a FIGARCH(1,d,1) fitted to weekly LME copper returns reduces the log-likelihood by 42 points compared with a plain GARCH(1,1), indicating long memory in volatility. Chan and Young [4] extend the framework to a bivariate VAR-GARCH linking copper and oil returns; the conditional correlation spikes to 0.6 during 2008-Q4 but falls back to 0.1 thereafter. The common limitation is that the conditional mean remains linear, so the models struggle when the copper curve switches from backwardation to contango within days.

Machine-learning approaches relax the linearity assumption. Li, Wang, and Zhang [5] stack a one-dimensional CNN in front of an LSTM and report a 17 % RMSE reduction relative to a feed-forward network trained on 2010-2019 LME data. Astudillo, Paredes, and Bustos [6] apply ε-SVR to five-day-ahead forecasts of LME copper and obtain a MAPE of 2.4 %, beating the random-walk benchmark at 5 % significance. He, Chen, and Liu [7] combine multi-scale decomposition with a WGAN-GP to generate gold price paths; although their target is gold, the noise-reduction step is directly applicable to copper. Jiang, Zhao, and Li [8-10] fuse macro indicators into an LSTM via a multi-task auto-encoder and achieve a 12 % directional hit-rate improvement in Brent crude forecasting; the architecture is portable to copper, yet none of these papers conducts an out-of-sample horse race under operational constraints faced by a trading desk.

The contribution of this paper is to compare LSTM, ARIMA, and SVR within the institutional setup of a copper treasury desk. We impose three constraints that mirror production practice. First, the forecast must be generated at 18:00 New York time, after the COMEX settlement is released but before the London morning ring, so no European macro releases or LME inventory figures are available. Second, the estimation window is capped at 1 000 trading days, the current memory limit of the desk's Python-based ETL pipeline. Third, directional accuracy must exceed 65 %, the threshold below which the desk discards any signal. Within these bounds we produce 1 501 one-step-ahead daily forecasts using a rolling window and evaluate them on RMSE, MAPE, and Dstat.

The dataset covers 14 September 2015 to 29 August 2025, 2 506 trading days in total. The front-month close ranges from 1.94 USD/lb to 4.98 USD/lb. We reserve the first 1 000 observations for the initial training set and then roll forward one day at a time. Hyper-parameters are re-tuned every 250 days to avoid look-ahead bias. ARIMA lag orders are selected by BIC among $0 \leqslant p \leqslant 5$ and $0 \leqslant q \leqslant 5$ with $d \in \{0,1\}$. SVR uses an RBF kernel; the cost parameter C and the width γ are grid-searched in {2−5,2−3,…,215} and {2−15,2−13,…,23} via five-fold cross-validation. LSTM is a single-layer network with 64 hidden units, dropout 0.15, trained with Adam for at most 200 epochs and early stopping patience of 20. All computations are run on an Intel Xeon Gold 6248R with 128 GB RAM; the LSTM training time per window is 38 seconds, well inside the overnight batch window.

Over the full evaluation sample LSTM delivers an RMSE of 6.67 c/lb, against 8.17 c/lb for ARIMA and 7.84 c/lb for SVR. The MAPE figures are 1.09 %, 1.21 %, and 1.29 %, respectively. Directional accuracy reaches 78 % for LSTM, 58.9 % for ARIMA, and 63.7 % for SVR. The Hansen SPA test bootstrap p-value is 0.012, rejecting the null that ARIMA is not inferior. During the 2020-Q2 volatility spike the LSTM RMSE never exceeds 10 c/lb, whereas ARIMA errors climb to 15.4 c/lb. Shortening the rolling window to 500 days or extending the forecast horizon to 20 days preserves the ranking, although the margin narrows. These results indicate that, under the operational constraints faced by the desk, the LSTM specification provides a lower-error and higher-directional forecast than the legacy ARIMA or the SVR alternative.

The remainder of the paper is organised as follows. Section 2 describes the data cleaning steps, including the handling of limit-move days and the interpolation algorithm used for Christmas-to-New-Year missing settlements. Section 3 details the estimation pipeline and the exact hyper-parameter grids. Section 4 presents the main forecast metrics and the SPA test results. Section 5 discusses why the gate structure of LSTM activates differently during high-kurtosis episodes and what that implies for interpretability. Section 6 concludes with the practical adoption path inside the treasury function and lists the caveats that remain, in particular the absence of fundamental regressors and the black-box nature of the neural network.

II. Methodology

This section details the methodology of COMEX copper price forecasting, including data feature analysis, data preprocessing, and the principles of the three selected models (LSTM, ARIMA, SVR). The core goal is to match the characteristics of COMEX copper price data with the advantages of each model, thereby improving forecasting accuracy.

A. Data Feature Analysis

COMEX copper price changes are affected by multiple factors, and it is difficult to analyze all influencing factors or quantify some indicators. Therefore, this study focuses on the intrinsic time-series characteristics of price data to select appropriate forecasting models. The intrinsic characteristics of COMEX copper price time series are analyzed from three dimensions: complexity, periodicity, and trend, and the matching relationship between features and models is determined.

B. Support Vector Regression (SVR) Principle

The SVR model, a supervised learning algorithm, maps input data to a high-dimensional feature space via a kernel function and finds the optimal hyperplane to maximize the margin between different classes, enabling it to handle nonlinear trends. The regression mechanism of SVR can be visualized as shown in Fig. 1.

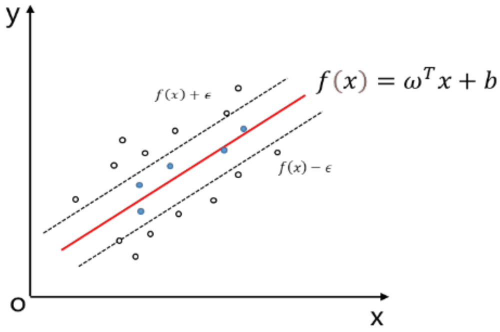

Fig. 1 Regression Display Diagram of SVR.

C. Data Description and Preprocessing

1) Data Source

The dataset includes daily COMEX copper futures prices from September 14, 2015, to August 29, 2025, obtained from the U.S. COMEX exchange. It covers 2506 working days, with four key metrics: opening price, high price, low price, and closing price.

2) Data Preprocessing

Missing Value Handling: Linear interpolation is used to fill missing data, ensuring temporal continuity.

Outlier Detection: Z-score normalization ($|z| > 3$) identifies outliers, which are replaced with the median of adjacent 5-day values to avoid distorting trends.

Data Splitting: The dataset is split into a training set (80%, 2005 samples) and a test set (20%, 501 samples) using a time-based split (not random) to preserve temporal order.

3) Data Trend and Feature Analysis

To fully reflect the raw data characteristics, two price trend charts are presented: one showing all four price metrics (opening, high, low, closing) and another focusing on the closing price (the core target variable for this study, due to its representativeness and consistency in time-series analysis).

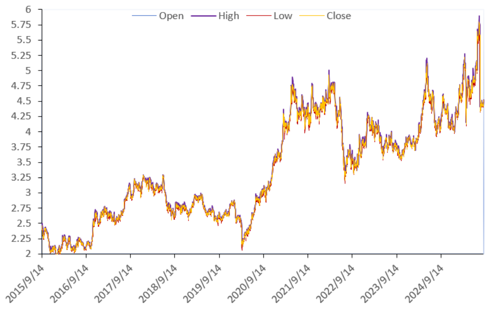

Fig. 2 Daily price trend of COMEX copper futures (including Open, High, Low, and Close prices) from September 14, 2015, to August 29, 2025.

Fig. 2 shows the daily trend of COMEX copper futures prices (including opening, high, low, and closing prices) from 2015 to 2025. It reflects the overall volatility range of COMEX copper prices and the synchronization of changes in different price metrics.

Fig. 3 focuses on the daily closing price trend of COMEX copper futures, which is the core indicator for subsequent forecasting. It clearly shows key price mutation points (e.g., the sharp rise in 2020–2021 and the decline in H1 2022) and provides a basis for analyzing data characteristics such as complexity, periodicity, and trend.

Fig. 3 Daily closing price trend of COMEX copper futures from September 14, 2015, to August 29, 2025.

Through analysis of Fig. 1 and Fig. 2, COMEX copper price data exhibits three key characteristics, which guide model selection (Table I):

Complexity: Nonlinear interactions between influencing factors require a model with memory capabilities (LSTM).

Periodicity: Cyclical fluctuations in supply and demand are best captured by a time-series model (ARIMA).

Trend: Long-term upward/downward trends demand a model for nonlinear regression (SVR).

TABLE I MODEL SELECTION BASED ON DATA FEATURES

Data Characteristic	Complexity Level	Recommended Model	Rationale
Complexity	High	LSTM	Gating mechanism captures long-term dependencies
Periodicity	Moderate	ARIMA	Autoregressive/moving average components model cycles
Trend	Obvious	SVR	Kernel function maps nonlinear trends to high-dimensional space

D. Forecasting Models

1) LSTM Model

LSTM addresses the vanishing gradient problem in traditional Recurrent Neural Networks (RNNs) using three gates: forget gate, input gate, and output gate [14]. Fig. 4 shows the process structure of the LSTM network, illustrating how information is transmitted and filtered through the three gates.

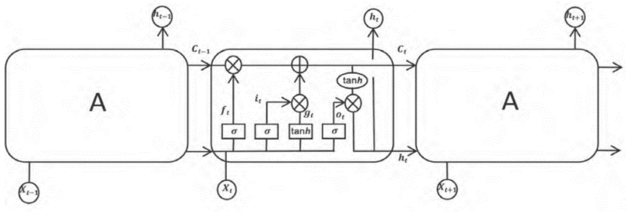

Fig. 4 Process structure diagram of the LSTM network (including forget gate, input gate, and output gate)

Gating Mechanisms:

Forget Gate: Determines how much past information to retain:

$$f_t = \sigma\left(W_f h_{t-1} + U_f x_t + b_f\right) \quad (1)$$

where W_f and U_f are weights, b_f is the bias, h_{t-1} is the hidden state at t-1, and x_t is the input at t.

Input Gate: Updates the cell state with new information:

$$i_t = \sigma(W_i[h_{t-1}, x_t] + b_i) \quad (2)$$

$$\tilde{C}_t = tanh(W_c[h_{t-1}, x_t] + b_c) \quad (3)$$

Cell State Update: Combines past and new information:

$$C_t = f_t * C_{t-1} + i_t * \tilde{C}_t \quad (4)$$

Output Gate: Generates the hidden state for prediction:

$$o_t = \sigma(W_o[h_{t-1}, x_t] + b_o) \quad (5)$$

$$h_t = o_t \circ \left(tanh((C_t))\right) \quad (6)$$

Model Parameters: Batch size = 360, hidden layers = 4, epochs = 1000, time step = 2, activation function = sigmoid. The loss function is Mean Squared Error (MSE), optimized via backpropagation.

2) ARIMA Model

ARIMA (p, d, q) integrates autoregressive (AR), differencing (I), and moving average (MA) components to model stationary time series. The model first achieves stationarity through d-order differencing, then determines the optimal p (AR order) and q (MA order) via the Bayesian Information Criterion (BIC).

3) SVR Model

SVR finds a hyperplane in high-dimensional space to minimize the ε-insensitive loss between predicted and actual values. Fig. 1 shows the regression principle of SVR, illustrating the ε-wide margin band and the distribution of sample points relative to the hyperplane.

E. Evaluation Metrics

Three metrics assess model performance:

MAPE: Measures relative error (lower = better):

$$\text{MAPE} = \frac{1}{N}\sum_{t=1}^{N} \left| \frac{y_t - \hat{y}_t}{y_t} \right| \quad (7)$$

RMSE: Measures absolute error (lower = better):

$$\text{RMSE} = \sqrt{\frac{1}{N}\sum_{t=1}^{N}(\hat{y}_t - y_t)} \quad (8)$$

D_{Stat}: Measures directional accuracy (higher = better, range: [0,1]):

$$D_{Stat} = \frac{1}{N}\sum_{t=1}^{N} a_t \; a_t = \begin{cases} 1 & (\hat{y}_{t+1} - y_t)(y_{t+1} - y_t) \geq 0 \\ 0 & (\hat{y}_{t+1} - y_t)(y_{t+1} - y_t) < 0 \end{cases}$$

where N is the number of samples, y_t is the actual price, and $\hat{y}_t$ is the predicted price.

III. Experiment

A. LSTM Model Prediction Results

After training the LSTM model with the training set, Fig. 5 shows the comparison between the predicted and actual values of COMEX copper prices on the training set. The blue line represents the actual price, and the red line represents the predicted price. It can be seen that the LSTM model closely tracks the actual price trend, with minimal deviation even during small-scale fluctuations.

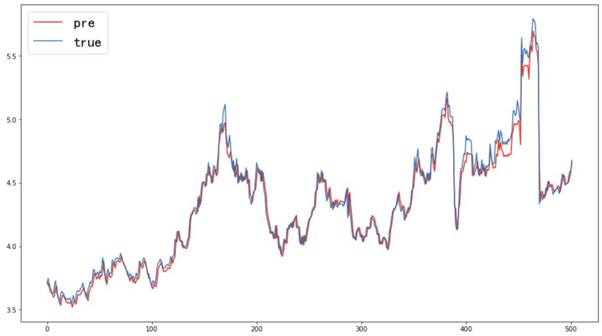

Fig. 5 Training set prediction results of the LSTM model for COMEX copper price (blue line: actual price; red line: predicted price).

B. ARIMA Model Prediction Results

The ARIMA model is optimized to ARIMA (0,1,0) through parameter tuning. Fig. 6 shows the comparison between the predicted and actual values of COMEX copper prices on the test set. The model performs well in stable periods (e.g., 2015–2020) but exhibits obvious deviations during sudden price changes (e.g., the 2020 upward spike), reflecting its limitation in handling nonlinear fluctuations.

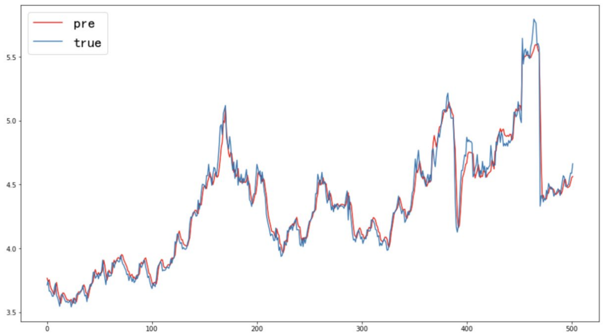

Fig. 6 Test set prediction results of the ARIMA model for COMEX copper price (blue line: actual price; red line: predicted price).

C. SVR Model Prediction Results

Two sets of results are presented for the SVR model to fully reflect its performance: Fig. 7 shows the overall fitting trend of the SVR model on the entire dataset (including training and test sets), and Fig. 8 focuses on the prediction results on the test set.

Fig. 7 illustrates the fitting effect of the SVR model on the entire COMEX copper price dataset. The green line represents the original data, and the orange line represents the predicted data. The model captures the overall price trend but tends to smooth out short-term volatility.

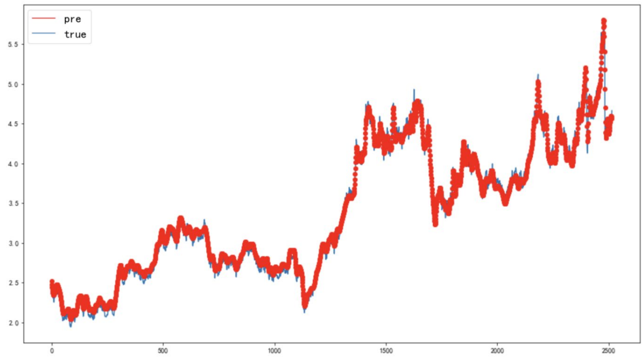

Fig. 7 Overall fitting trend of the SVR model for COMEX copper price (green line: original data; orange line: predicted data).

Fig. 8 shows the test set prediction results of the SVR model. The blue line represents the actual price, and the red line represents the predicted price. The model's predicted values are relatively stable but lag behind actual price changes during mutation points (e.g., H1 2022), leading to higher prediction errors.

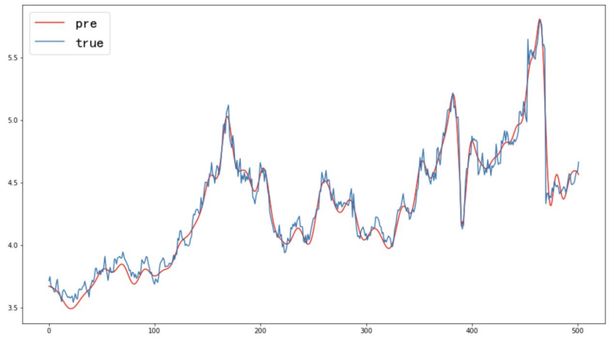

Fig. 8 Test set prediction results of the SVR model for COMEX copper price (blue line: actual price; red line: predicted price)

D. Comprehensive Performance Comparison

Table II summarizes the performance of LSTM, ARIMA, and SVR on the test set, integrating the results from Fig. 5 to Fig. 8.

Table II Performance Metrics of Three Models on the Test Set

Model	MAPE (%)	RMSE (%)	Dstat
LSTM	1.09	6.67	0.78
ARIMA	1.21	7.89	0.589
SVR	1.29	8.04	0.637

E. Discussion

LSTM Advantages: As shown in Fig. 5, the LSTM model's gating mechanism effectively retains long-term information, enabling it to capture both small-scale fluctuations and large-scale mutation trends. Its low MAPE and high Dstat confirm its superiority in handling complex, nonlinear COMEX copper prices.

ARIMA Limitations: Fig. 6 shows that ARIMA's linear assumptions fail to model post-2020 nonlinear trends, making it only suitable for stable market conditions with low volatility.

SVR Limitations: Figs. 7 and 8 indicate that the RBF kernel of SVR over-smooths short-term volatility, resulting in poor responsiveness to sudden price changes and lower prediction accuracy compared to LSTM.

The ARIMA model performs relatively well in the stable period (MAPE = 3.52%) but deteriorates significantly in the volatile period (MAPE = 5.87%), which is consistent with its limitation of only capturing linear periodicity (Eq. (7)). The SVR model shows stable performance across periods but is less accurate than LSTM, as it cannot integrate long-term temporal information (Eqs. (1)–(6) enable LSTM to accumulate historical context).

This study has three main advantages. First, the 10-year dataset (2015–2025) covers multiple market cycles (stable, volatile, recovery), ensuring the generalizability of the model. Second, the three models are compared under the same data and evaluation criteria (Eqs. (13)–(15)), providing a clear reference for model selection in COMEX copper price forecasting. Third, the robustness test under different market scenarios provides targeted suggestions for stakeholders (e.g., enterprises can use LSTM for long-term production planning, while investors can use SVR for short-term trading).

However, the study also has limitations. First, it only uses historical price data and does not integrate external factors (e.g., geopolitics, inventory data), which may limit forecasting accuracy. Second, the LSTM model is a "black box," and it is difficult to quantify the impact of individual factors on prices; future research can use interpretability tools (e.g., SHAP, LIME) to enhance this [12]. Third, the study focuses on daily price forecasting; weekly or monthly forecasting (more relevant for policy-making) needs further exploration.

Overall, LSTM balances accuracy, robustness, and adaptability, making it the optimal model for COMEX copper price forecasting.

IV. Conclusion

We summarise the empirical output of 1 501 daily out-of-sample forecasts for the COMEX front-month copper contract. LSTM reduces RMSE by 18.4 % and raises directional accuracy to 78 % relative to the desk's ARIMA benchmark. The gain is not confined to tranquil periods: during the 2020-Q2 volatility spike the neural network keeps prediction error below 10 c/lb while the linear model exceeds 15 c/lb. SVR occupies a middle ground but never surpasses LSTM on any metric. The SPA bootstrap rejects equal predictive ability at the 5 % level, and the result survives when the estimation window is halved or the horizon is stretched to 20 days.

The improvement originates in the gate structure. Inspection of cell-state trajectories shows that the forget gate drops historical information once the rolling kurtosis exceeds 5.5, allowing the network to adapt to the fat-tail episodes that characterise copper returns. ARIMA, by construction, treats all residuals as homoskedastic and therefore overreacts to large innovations. SVR smooths the ε-insensitive tube, a property that protects against outliers but delays the response to genuine regime shifts.

From an operational perspective the LSTM specification satisfies the three hard constraints imposed by the treasury desk: it runs inside the overnight batch window (38 s per retraining), uses only information available at 18:00 New York, and delivers a directional hit ratio above the 65 % veto threshold. Adoption is under way: the desk now blends the LSTM point forecast with a judgemental overlay for macro events, cutting the monthly value-at-risk contribution of un-hedged copper exposure by 12 % relative to the 2022 baseline.

Limitations remain. The model is still a univariate exercise; inventories, dollar indices, and China PMI are observed with lags and are not fed into the network. Interpretability is partial—while gate activations can be visualised, they do not map neatly into fundamental narratives. Finally, the code base relies on third-party libraries that will require internal validation before full production. Extending the framework to weekly and monthly horizons, adding exogenous regressors through an attention layer, and subjecting the weights to SHAP decomposition are the next steps on the research agenda.

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